TEAM 3

SUSTAINABLE BRANDS AND PRODUCTS



CIRCULAR WAY

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Questions Answering

- What are the potential reasons for this divergence between consumers' stated sustainable intentions and their actual purchasing behaviours? How can Circular Way address this gap?
- How could Circular Way divide a garment, ownership model or customer journey so that customers keep clothing in circulation for longer?
- Craft a positioning statement for Circular Way that captures the commitment to sustainability.

Intention Action Gap



Potential reasons

Economic & Convenience Barriers

- Sustainable/circular fashion is often perceived as more expensive.
- Fast fashion offers greater convenience, accessibility, and product variety.
- Consumers prioritize affordability and ease of purchase over sustainability goals.

Trust & Percieved Risk

- Concerns about the quality, durability, and condition of circular fashion products.
- Uncertainty about the environmental impact of purchases.
- Skepticism toward sustainability claims and potential greenwashing.

Social & Behavioral Factors

- Fashion trends, status, and desire for newness influence purchasing decisions.
- Existing shopping habits are difficult to change.
- Environmental values are often outweighed by immediate personal benefits and preferences.

Intention Action Gap

How to address them

Increase Consumer Value &Convenience

- Offer competitive pricing, discounts, trade-in credits, and loyalty rewards.
- Simplify the circular shopping experience through easy returns, exchanges, and resale options.
- Make circular products more accessible through user-friendly online and offline channels.

Bu ild Trust & Reduce Perceived Risk

- Provide transparency about sourcing, refurbishment, and environmental impact.
- Offer quality guarantees, certifications, and clear product condition descriptions.
- Use measurable sustainability data to demonstrate genuine impact and reduce greenwashing concerns.

Leverage Social Influence & Behavior Change

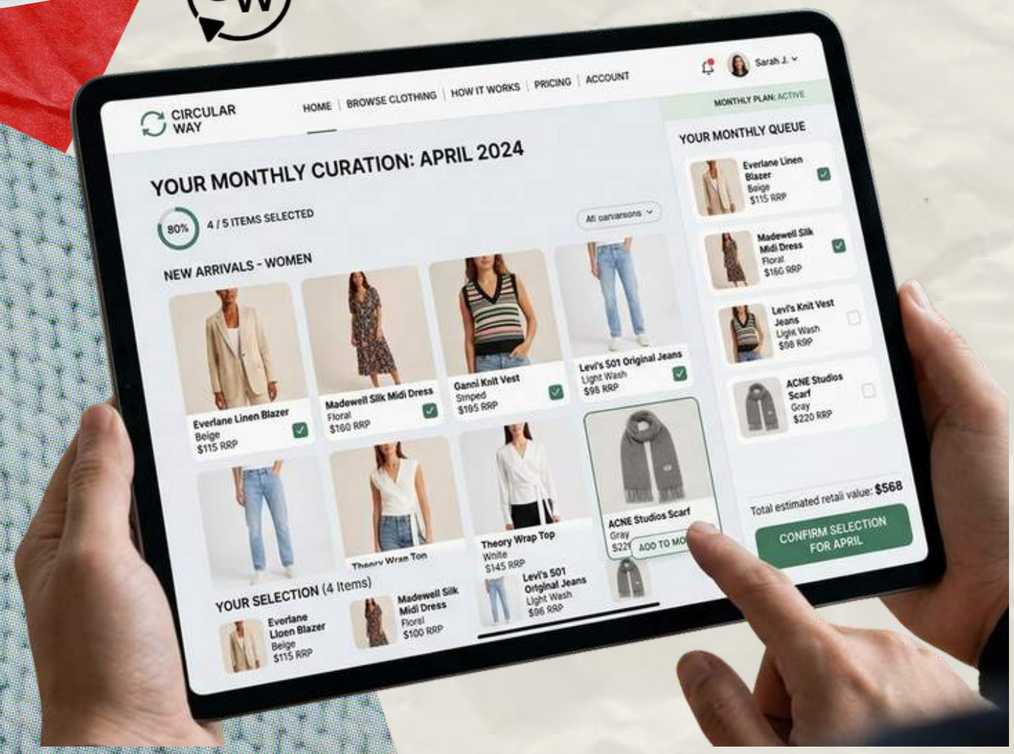
- Target environmentally conscious early adopters who can influence others.
- Use testimonials, influencers, and user-generated content to normalize circular fashion.
- Create compelling brand stories that connect sustainability with personal values, style, and community impact.



“Renting is the new Buying”

Fashion as a Service

Circular Way



Circular Economy

Longer garment lifespan

Less production

Affordable memberships no premium

Trend Access

Variety & novelty

No ownership risk

Consumer Adoption

Key Stats



Growing Market

- Global clothing rental market worth $2.6B (2025) and projected to reach $7B by 2036

Proven Environmental Impact

- Rent the Runway has saved:
  - 67M gallons of water
  - 98.6M kWh of energy
  - 44.2M lbs of CO_2

Changes Consumer Behaviour

- 89% of Rent the Runway subscribers report buying fewer new clothes after joining

Why It Matters

- Fashion contributes 12% of global greenhouse gas emissions
- Clothing production generates 1.2 billion tonnes of CO_2e annually

The Circular Wardrobe - reinvent your style, endlessly



Circular Ownership Model

- Monthly subscription with up to 6 rental items
- Garments are shared across multiple users
- Clothing is cleaned, repaired, and re-rented
- End-of-life garments can be purchased at a discounted price

Friction-Free Customer Journey

- Self-select items or use AI Stylist Assistant
- Convenient collection and return points
- Prepaid packaging for easy returns
- Cycle Way manages cleaning and repairs

Barrier Removed

Perceived difficulty of sustainable consumption

- No ownership commitment
- No need to repair, wash, or resell items
- Sustainable fashion becomes effortless

Why It Appeals to Blues

- Affordable subscription model
- Access to trends and wardrobe variety
- Convenient and time-saving
- Sustainable without sacrificing style

Positioning Statement

"For style-conscious millennials and Gen Z consumers who care about sustainability but face real cost and convenience barriers, Circular Way is the frictionless circular-fashion platform that lets you wear what you love — guilt-free — through an intelligent rental subscription and seamless NFC-powered take-back, because closing the loop should never feel like a compromise."

THE BLUES

Target Segment

CONSCIOUS FASHIONISTAS

HIGH ENVIRONMENTAL CONCERN BUT BUDGET-CONSTRAINED

AGE 16–24



DRAWN TO CIRCULAR FASHION AS AN IDENTITY STATEMENT

DRAWN TO CIRCULAR FASHION AS AN IDENTITY STATEMENT

SUBSCRIPTION LOWERS THE FINANCIAL BARRIER WHILE NFC-TRACKING MAKES ECO-IMPACT TANGIBLE AND SHAREABLE.

THEY WANT TO DO THE RIGHT THING - REMOVE THE COST EXCUSE.

MULTITASKERS

THE ALGORITHMIC STYLING SERVICE

AGE 25–35



TIME-POOR PROFESSIONALS WITH DISPOSABLE INCOME.

SUSTAINABILITY MATTERS BUT CONVENIENCE IS PARAMOUNT.

FRICTIONLESS DROP-OFF ELIMINATE THE EFFORT BARRIER ENTIRELY.

THEY HAVE THE MONEY - REMOVE THE TIME AND EFFORT EXCUSE.

Strategic Justification



True Closed Loop

Circular Way's buy-back and resale model keeps garments in circulation indefinitely. Grounded in the Biosphere Rules framework (Unruh, 2018) – value without extraction.

Frictionless Subscription

Up to 6 curated items/month, algorithmically styled to your taste. Local drop-off & collection removes every logistical excuse. Zero commitment, wear more, own less.

NFC-Enabled Transparency

Every garment carries an NFC chip with its full circularity passport – materials, lifecycle, take-back instructions. Impact is visible, verifiable, and shareable.



THANK YOU

Appendix

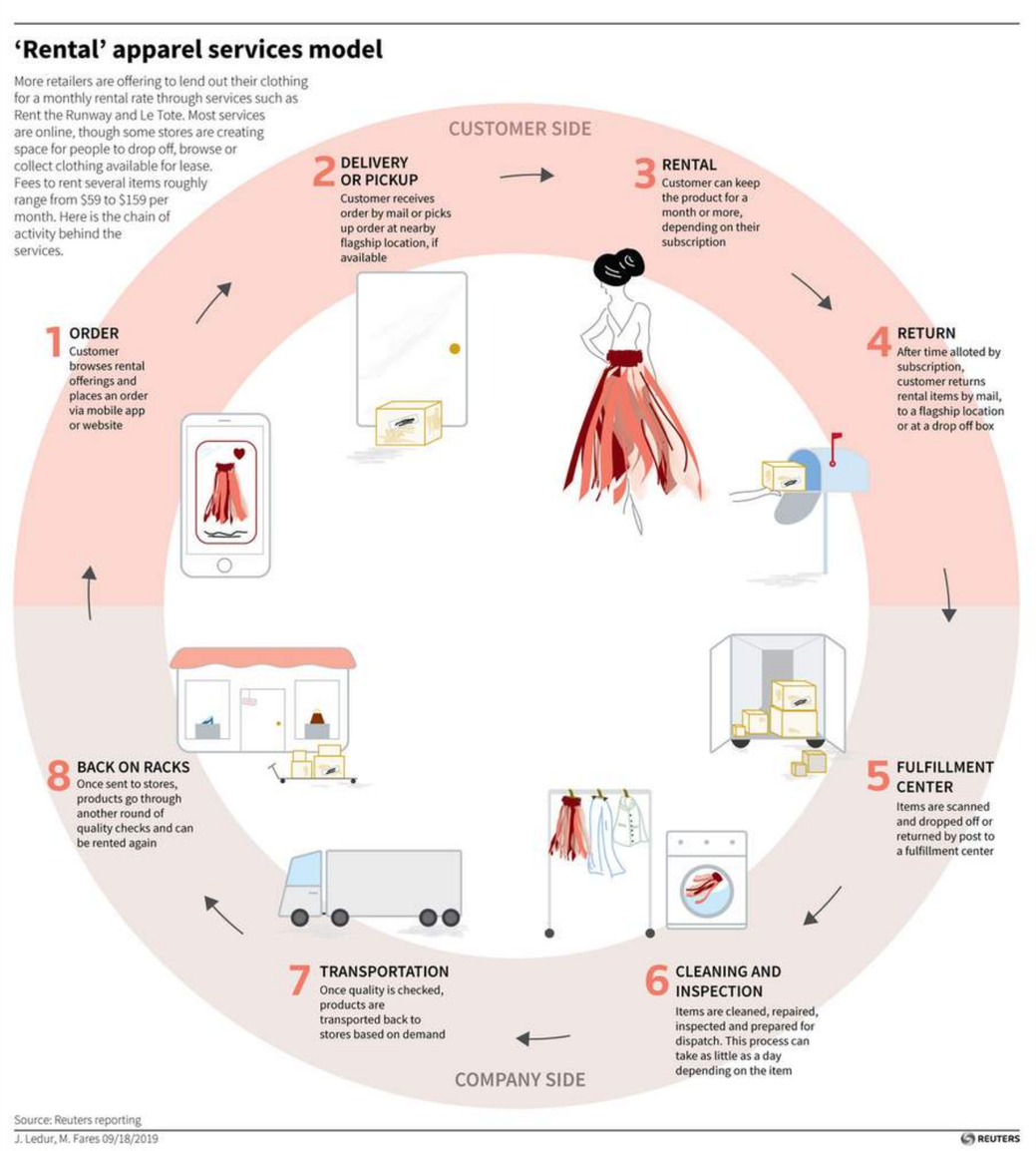






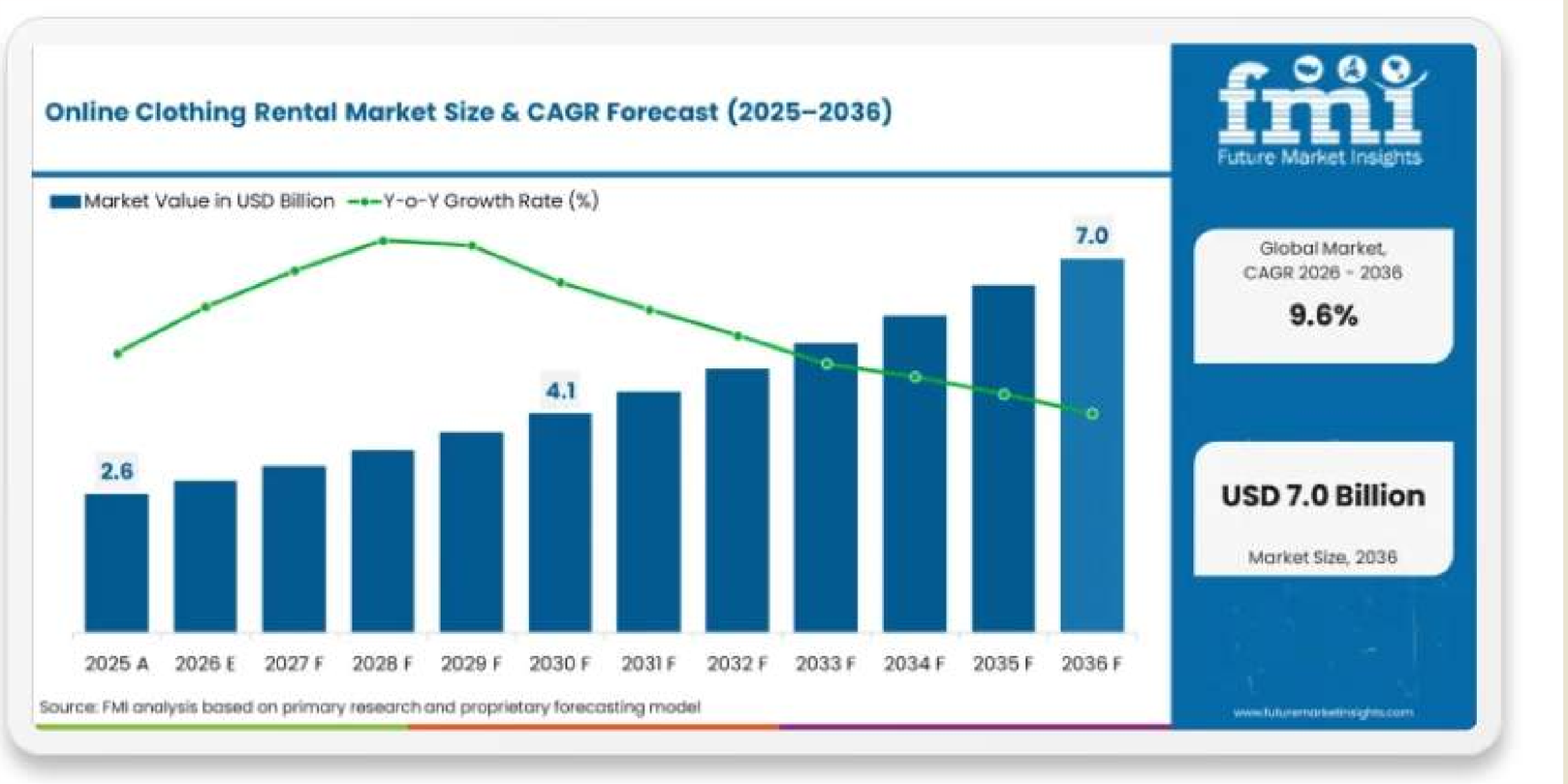


Diagram illustrating the functioning of rental fashion - circular economy



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Valuation of the global fashion rental market



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